3. INCOME TAXES

At December 31, 1998, 1997, and 1996 the Company had federal tax-basis net operating loss carryforwards totaling approximately $1,420,000 which will expire in various amounts from 1999 through 2018. The deferred tax asset associated with these operating loss carryforwards is approximately $483,000 for the years ended December 31, 1998, 1997, and 1996 and has been fully reserved for each of the years then ended, as management believes it is more likely than not that the deferred tax assets will not be utilized.